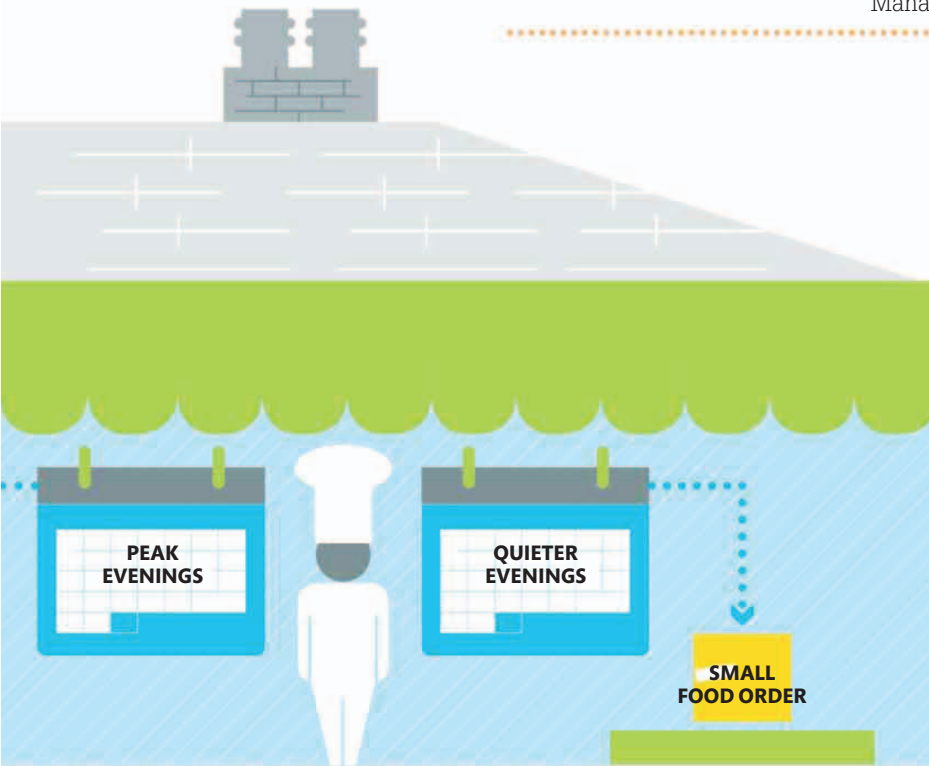


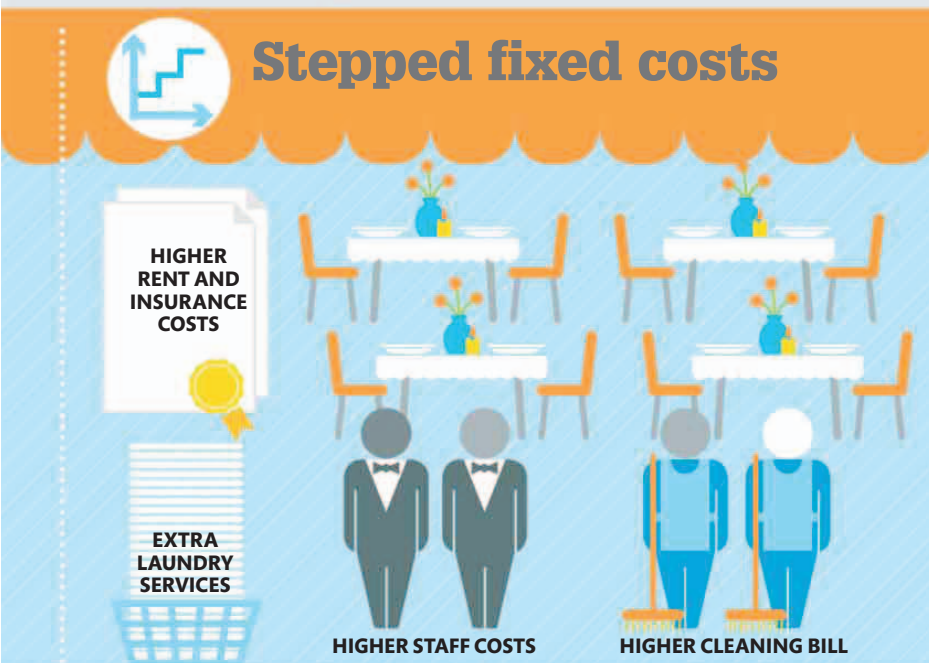


NEED TO KNOW

- › **Break-even point (BEP)** The point at which total sales revenue is equal to total costs
- › **Questionable costs** Costs that can be treated as fixed or variable
- › **Sunk costs** Costs incurred in the past that cannot be recovered
- › **Prospective costs** Costs that may be incurred in the future depending on which business decisions are made



Stepped fixed costs



40%
of business
owners say that
payroll is their
greatest expense

The restaurant becomes popular, so the owner rents the premises next door to serve an additional 40 diners a night. The costs that were fixed at a certain level have now doubled.